

that's twice the growth rate is very negative. We use this measure all the time in analyzing stocks for the mutual funds.

If your broker can't give you a company's growth rate, you can figure it out for yourself by taking the annual earnings from *Value Line* or an S&P report and calculating the percent increase in earnings from one year to the next. That way, you'll end up with another measure of whether a stock is or is not too pricey. As to the all-important future growth rate, your guess is as good as mine.

A slightly more complicated formula enables us to compare growth rates to earnings, while also taking the dividends into account. Find the long-term growth rate (say, Company X's is 12 percent), add the dividend yield (Company X pays 3 percent), and divide by the p/e ratio (Company X's is 10). 12 plus 3 divided by 10 is 1.5.

Less than a 1 is poor, and 1.5 is okay, but what you're really looking for is a 2 or better. A company with a 15 percent growth rate, a 3 percent dividend, and a p/e of 6 would have a fabulous 3.

THE CASH POSITION

We just went over Ford's \$8.35 billion in cash net of long-term debt. When a company is sitting on billions in cash, it's definitely something you want to know about. Here's why:

Ford's stock had moved from \$4 a share in 1982 to \$38 a share in early 1988 (adjusted for splits). Along the way I'd bought my 5 million shares. At \$38 a share I'd already made a huge profit in Ford, and the Wall Street chorus had been sounding off for almost two years about Ford's being overvalued. Numerous advisors said that this cyclical auto company had had its last hurrah and the next move was down. I almost cashed in the stock on several occasions.

But by glancing at the annual report I'd noticed that Ford had accumulated the \$16.30 a share in cash beyond debt—as mentioned in the previous chapter. For every share of Ford I owned, there was this \$16.30 bonus sitting there on paper like some delightful hidden rebate.

The \$16.30 bonus changed everything. It meant that I was buying the auto company not for \$38 a share, the stock price at the time, but for \$21.70 a share (\$38 minus the \$16.30 in cash). Analysts were expecting Ford to earn \$7 a share from its auto operations, which at the \$38 price gave it a p/e of 5.4, but at the \$21.70 price it had a p/e of 3.1.

A p/e of 3.1 is a tantalizing number, cycles or no cycles. Maybe I wouldn't have been impressed if Ford were a lousy company or if people were turned off by its latest cars. But Ford is a great company, and people loved the latest Ford cars and trucks.